

MEMORANDUM FOR THE RECORD

Subj: USE OF OTHER THAN FULL AND OPEN COMPETITION FOR AN ACQUISITION UNDER THE SIMPLIFIED ACQUISITION THRESHOLD

I. BACKGROUND

Beginning in FY23, due to the success at both Pearl Harbor Naval Shipyard (PHNSY) and Portsmouth Naval Shipyard (PNSY), Norfolk Naval Shipyard (NNSY) awarded contracts to The Arbinger Institute on a sole source basis for the initial deployment of Outward Mindset for Senior Leaders. The contracts were awarded on a sole source basis to ensure the NNSY workforce received mindset training with principles, theories, and terminology consistent with what had already been provided to PHNSY and PNSY. Employees from the four Shipyards, to include Puget Sound Naval Shipyard (PSNS), interact and work closely together at various times and on various projects. As the four shipyards regularly conduct business and interact with each other, it is therefore critically important that the deployment of this personnel development initiative be consistent across the shipyards as well as NAVSEA HQ to maximize efficiency and effectiveness.

What sets Arbinger training apart from other similar training courses is that they offer an in-depth training program that covers various aspects of leadership, conflict resolution, and team dynamics often emphasizing deep personal and cultural shifts. Acknowledging other people's perspective leads to clearer, more empathetic communication, reducing misunderstanding and conflicts. Arbinger's training courses are proprietary and trademarked. The proposed order will provide Outward Mindset training that goes beyond behavior change and focuses on the mindset that influences behavior change. This will include on-site instructor-led services, virtual training and all related course material with specific training for leaders.

PSNS & IMF Department Heads and leadership will utilize the development training and outward mindset principles and practical tools towards operational improvements throughout the leadership and workforce. The training will provide necessary tools to contribute to on-time ship delivery and cost control, accelerated decision making and execution, high-trust collaborative teams, proactive problem-solving at every level, sustainable accountability and a mission focused resilient workforce.

Applicable FAR References:

1. FAR 6.302-1(a)(2)(iii) Substantial duplication of cost to the Government that is not expected to be recovered through competition
2. FAR 8.405-6(b)(1) - Brand name specifications shall not be used unless the particular brand name, product, or feature is essential to the Government's requirements, and market

research indicates other companies' similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the agency's needs.

3. FAR 13.106-1(b)(1)(i) states for purchases not exceeding the simplified acquisition threshold, Contracting Officers may solicit from one source if the Contracting Officer determines that the circumstances of the contract action deem only one source reasonably available (e.g., urgency, exclusive licensing agreements, brand-name or industrial mobilization).
4. As required by FAR 13.106-3(b)(3)(i), this memorandum explains the absence of competition for this acquisition, as only one source will be solicited for this requirement (or for a portion of the requirement) and the requirement is not expected to exceed the simplified acquisition threshold.

II. DESCRIPTION OF ITEM OR SERVICE:

The training will consist of the Outward Mindset series and leadership development principles and can be delivered within a 12-month timeframe, beginning on or about May 4, 2026. The service will consist of onsite facilitation workshops, strategic working sessions, and the outward mindset implementation series. Vendor shall provide participant workshops and all necessary materials required for each session and participant. Vendor shall remain flexible with scheduling facilitation workshops and sessions in coordination with Department Heads and leadership availability.

III. THE DETERMINATION FOR USE OF OTHER THAN FULL AND OPEN COMPETITION IS BASED ON THE FOLLOWING (select all that apply):

A. ☐ ONLY ONE RESPONSIBLE SOURCE (select all that apply):

1. ☒ RESTRICTIVE RIGHTS. The source has established proprietary rights, limited rights in data, patent rights, copyrights or secret processes in the item or service required.

Arbinger Institute holds proprietary rights to and is the sole provider of the Outward Leadership (OL) and Developing and Implementing an Outward Mindset (DIOM) methodologies, they hold trademarks for its training courses, programs and material, including the names Arbinger and "The Outward Mindset". These methodologies are unavailable through any other vendor in GSA Advantage. Currently there are no alternative schedules of contractors that offer comparable training that utilizes the same approach. Arbinger's curriculum and delivery are proprietary and trademarked. This vendor operates under a Federal Supply Schedule (FSS) contract and is currently offering services to several other Department of War agencies due to their effective past contract performance.

2. ☐ EXCLUSIVE LICENSING AGREEMENTS. The item or service is only available from the Original Equipment Manufacturer (OEM), or there is only one authorized distributor or technical representative for the OEM.

3. ☐ OTHER REASONS. Other reasons are not identified above. Provide details on mission impact if requirement is not solicited from only one source.

B. ☒ BRAND NAME. Item required must be a brand name product, or feature of a product, particular to one manufacturer. Discuss why you are precluding consideration of a product manufactured by another company. Describe how the particular brand name, product, or feature is essential to the Government's requirements and why a "brand name or equal" purchase description cannot be used (see FAR 11.104). Describe how market research indicates other companies' similar products or products lacking the particular feature do not meet, or cannot be modified to meet, the agency's needs.

FAR 8.405-6(b)(1) states that "Brand name specifications shall not be used unless the particular brand name, product, or feature is essential to the Government's requirements, and market research indicates other companies' similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the agency's needs." In the case of Outward Leadership (OL) and Developing and Implementing an Outward Mindset (DIOM), these are trademarked methodologies owned by Arbinger Institute that are not available through any other vendor. Other companies such as The Satori Foundation (identified during this market research effort) offer similar training, but their offerings indicate that their materials are equivalent to but not equal to the Arbinger methodology and therefore cannot equal the offerings by Arbinger which are essential to the Government's requirement of consistency in training across NSYs.

Since FY23, Outward Leadership (OL) and Developing and Implementing an Outward Mindset (DIOM) trainings have been delivered to multiple Naval Shipyards (specifically PHNSY, PNSY, and NNSY) and NAVSEA HQ. The following table shows the number of employees trained at each shipyard to date:

Shipyard	# of Employees Trained
Puget Sound (PSNS) (Hawaii IDIQ)	127
Hawaii (PHNSY)	3214
Norfolk (NNSY)	1238
Portsmouth (PSNY)	2461
Total Trainings	7040

The NSYs regularly conduct business and interact with each other, and therefore it is critically important that the deployment of this personnel development initiative is consistent across the shipyards as well as NAVSEA HQ to maximize efficiency and effectiveness. With over seven thousand employees trained under the OL and DIOM methodologies,

changing to a different system with different methodologies would require broad retraining efforts to ensure consistency of methodology across all shipyards. FAR Subpart 6.3 discusses rationale for other than full and open competition, and FAR 6.302-1(a)(2)(iii) references “Substantial duplication of cost to the Government that is not expected to be recovered through competition.” The re-training that would be required to create an environment consistent across all NSYs would incur financial and time costs that would not reasonably or possibly be recouped through competition. The table below shows what has been obligated thus far to train employees that the table above mentioned since 2020 to current. Some of the contracts still have options that have not yet been obligated or exercised (the current estimate of \$347,356.11 is for 200 people).

FY	Contract ID	Period of Performance	Organization	Obligated to Date
2020	N3225320F0066	09/01/20 – 2/28/23	PHNSY	\$2,577,198.84
2022	N3904022F0017	1/17/22 – 2/28/22	PNSY	\$87,552.80
2023	N3904023P0082	3/14/23 – 3/13/24	PNSY	\$149,123.48
2023	N4215823F0003	3/15/23 – 08/30/24	NNSY	\$422,808.15
2023	N3225323F0046	06/13/23 – 06/12/26	PHNSY	\$797,176.07
2023	N4215823PE236	11/27/23 (Materials)	NNSY	\$23,895.00
2024	N0002424FG0085	12/20/23 (Materials)	NAVSEA HQ	\$1,018.48
2024	N3904024F0009	02/13/24 – 02/12/29	PNSY	\$2,523,501.95
2024	N4215824P0018	3/15/24 – 3/14/25	NNSY	\$179,809.32
Total				\$6,762,083.61

These costs include materials per participant, train the trainer programs, so leadership can continue training non-supervisory employees and virtual training as well as onsite training . The cost to retrain all these employees, obtain new materials, travel, and time to put new contracts in place, who be a substantial duplication of costs and a burden to the Government. Additionally, the time it would take to retrain 7040 employees would be extensive.

C. ☐ UNUSUAL AND COMPELLING URGENCY. The supplies or services are of such unusual and compelling urgency that the Government would be seriously injured unless the agency is permitted to limit the number of sources from which it solicits bids or proposals. Urgent requirements are supplies or services that will result in a work stoppage, or are mission critical and the routine processing time would result in injury to the Government. The determination that the procurement for the above item/service is an urgent and compelling requirement is based on the following:

1. Date on which the requirement was first identified: November 2025
2. Required delivery date/period of performance: February – March 2026

3. Explanation of why delivery/commencement of services by the date mentioned above is required: Explain the impact to the mission if the date above is not met, any special circumstances or conditions that exist which validate the requirement as “urgent,” estimated production lead time for the item, etc.

4. If appropriate, include any additional pertinent information.

IV. CERTIFICATIONS/APPROVALS:

A. Technical / Requirements Certification: I certify that the facts and representation under my cognizance which are included in this justification are complete and accurate to the best of my knowledge and belief.

	4/3/26	
Signature	Name/Phone	Date

	4/3/26	
Signature	Name/Phone	Date